

Third Country Branches

Effective Date: 03-03-2026

Source: <https://www.prarulebook.co.uk/prarules/third-country-branches/03-03-2026>

Type: PRA Rule

Scraped: 2026-03-02 20:51

1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to [third country branch undertakings](#), except [Swiss general insurers](#).

- 01/01/2016

1.2

In this Part, the following definitions shall apply:

[branch scheme of operations](#)

means a scheme containing the information required in [5.1](#).

[composite third country branch](#)

means a [third country branch](#) (except a [third country pure reinsurance branch](#)) that carries on both [long-term insurance business](#) and [general insurance business](#) in the [UK](#).

- 31/12/2024
- [Past version of 1.2 before 31/12/2024](#)

2

Accounting Records in the UK

2.1

A [third country branch undertaking](#) must maintain at a place of business in the [UK](#) all records relating to:

1. (1) the activities carried on from its [third country branch](#).
2. (2) [deleted.]

[Note: Art. 162 (2) of the [Solvency II Directive](#)]

- 31/12/2020
- [Past version of 2.1 before 31/12/2020](#)

3

Localisation and Deposit of Assets

3.1

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- 31/12/2024
- [Past version of 3.1 before 31/12/2024](#)

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- 31/12/2020
- [Past version of 3.2 before 31/12/2020](#)

3.3

A [third country branch undertaking](#) (except a [third country branch undertaking](#) that has a [third country pure reinsurance branch](#)) must hold on deposit as security in the [UK](#) with a [CRD credit institution](#) assets of an amount equal to at least:

1. (1) £600,000 for a [third country insurance branch](#) whose [insurance business](#) is limited to [general insurance business](#), except in the case

where all or some of the [general insurance business classes](#) 10 to 15 are covered, in which case the amount must be at least £875,000;

2. (2) £875,000 for a [third country insurance branch](#) whose [insurance business](#) is limited to [long-term insurance business](#); or

3. (3) the sum of the amounts set out in (1) and (2) for a [third country insurance branch](#) that is a [composite third country branch](#).

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- [Past version of 3.3 before 31/12/2024](#)

4

Solvency Capital Requirement and Minimum Capital Requirement [Deleted]

4.1

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- 31/12/2024
- [Past version of 4.1 before 31/12/2024](#)

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- 31/12/2020
- [Past version of 4.6 before 31/12/2020](#)

5

Contents of the Branch Scheme of Operations

5.1

The [branch scheme of operations](#) must set out the following:

1. (1) the nature of the risks or commitments which the [third country branch undertaking](#) proposes to cover;
2. (2) the guiding principles as to [reinsurance](#);
3. (3) [deleted]
4. (4) [deleted]
5. (5) [deleted]
6. (6) estimates of the cost of setting up the administrative services and the organisation for securing business, the financial resources to meet those costs and, where the risks to be covered are classified under paragraph 18 of Part 1 of Schedule 1 to the [Regulated Activities Order](#), the resources available for the provision of assistance;
7. (7) information on the structure of the system of governance; and
8. (8) for the first three financial years:
 1. (a) a forecast balance sheet;
 2. (b) estimates of the financial resources intended to cover the provisions referred to in [6.1](#);

3. (c) for [general insurance business](#):
 1. (i) estimates of management expenses other than installation costs, in particular current general expenses and commissions;
 2. (ii) estimates of [premiums](#) or contributions and claims under any [contract of insurance](#); and
3. (d) for [long-term insurance business](#):
4. a plan setting out detailed estimates of income and expenditure in respect of direct business, [reinsurance](#) acceptances and [reinsurance](#) cessions.

- 31/12/2024
- [Past version of 5.1 before 31/12/2024](#)

6

Provisions for Insurance and Reinsurance Obligations

6.1

A [third country branch undertaking](#) must establish adequate provisions to cover the insurance and [reinsurance](#) obligations assumed by the [third country branch undertaking](#) in the [UK](#), calculated in accordance with [6.1A](#) to [6.1E](#).

- 31/12/2024
- [Past version of 6.1 before 31/12/2024](#)

6.1A

A [third country branch undertaking](#) must calculate the provisions referred to in [6.1](#):

1. (1) such that the calculation makes use of and is consistent with information provided by the financial markets and generally available data on [underwriting risks](#) (market consistency);
2. (2) in a prudent, reliable and objective manner;
3. (3) taking into account the principles set out in [Valuation 2](#) and [3](#); and
4. (4) subject to [6.1B](#), in accordance with:
 1. (a) [6.1C](#) to [6.1F](#);

2. (b) [Technical Provisions 9](#) to [12](#);
3. (c) [Technical Provisions 14](#);
4. (d) [Technical Provisions – Further Requirements 2](#) to [5](#);
5. (e) [Technical Provisions – Further Requirements 10](#) to [12](#);
6. (f) [Technical Provisions – Further Requirements 23](#) and [24](#); and
7. (g) [Technical Provisions – Further Requirements 26](#) and [27](#)
8. where a reference to ‘[technical provisions](#)’ is to be interpreted as the provisions referred to in [6.1](#).

- 31/12/2024

6.1B

In [Technical Provisions – Further Requirements 2.1](#), the reference to ‘and the [risk margin](#)’ is to be disregarded.

- 31/12/2024

6.1C

The insurance and [reinsurance](#) obligations referred to in [6.1](#) must be calculated using the [branch best estimate](#) unless [6.1E](#) applies, in which case they must be calculated in accordance with [6.1E](#).

- 31/12/2024

6.1D

The [branch best estimate](#) must be calculated in accordance with:

1. (1) [Technical Provisions 3](#);
2. (2) [Technical Provisions 5](#) and [8](#);
3. (3) the [Matching Adjustment Part](#);
4. (4) [Technical Provisions – Further Requirements 6](#) to [9](#) (other than [7.2](#));
5. (5) [Technical Provisions – Further Requirements 13](#) to [21](#); and
6. (6) [Technical Provisions – Further Requirements 25](#),

where a reference to '[best estimate](#)' is to be interpreted as [branch best estimate](#) and a reference to '[technical provisions](#)' is to be interpreted as the provisions referred to in [6.1](#).

- 31/12/2024

6.1E

Where:

1. (1) future cash-flows associated with insurance or [reinsurance](#) obligations can be replicated reliably;
2. (2) that replication is provided using financial instruments; and
3. (3) those financial instruments have a reliable market value which is observable,

then the value of those future cash-flows must be determined on the basis of the market value of those financial instruments, and calculated in accordance with [Technical Provisions – Further Requirements 22](#), where references to '[Technical Provisions 2.5\(2\)\(a\)](#)' is to be interpreted as a reference to '6.1E of the Third Country Branches Part' and references to '[technical provisions](#)' are to be interpreted as the provisions referred to in [6.1](#).

- 31/12/2024

6.1F

1. (1) A [third country branch undertaking](#) must ensure that the [branch best estimate](#), and the assumptions underlying the calculation of the [branch best estimate](#), are regularly compared against experience.
2. (2) Where the comparison in (1) identifies that a systematic deviation exists between the [branch best estimate](#) calculations and experience, the [third country branch undertaking](#) must make appropriate adjustments to the actuarial methods being used and/or the assumptions being made to ensure that the [branch best estimate](#) is calculated in accordance with [6.1A](#) to [6.1D](#).

- 31/12/2024

6.2

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- 31/12/2020
- [Past version of 6.2 before 31/12/2020](#)

6.3

A [third country branch undertaking](#) must value assets and liabilities (other than the insurance and [reinsurance](#) obligations referred to in [6.1](#)) in accordance with the [Valuation Part](#) where, except for [Valuation 9.4\(2\)\(a\)](#), a reference to '[technical provisions](#)' is to be interpreted as the provisions referred to in [6.1](#), a reference to the '[Technical Provisions Part](#)' is to be interpreted as a reference to '[Third Country Branches 6](#)' and a reference to the '[Solvency Capital Requirement – General Provisions Part](#)' can be disregarded.

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- [Past version of 6.4 before 31/12/2024](#)

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[Note: Art. 165 of the [Solvency II Directive](#)]

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- [Past version of 6.5 before 31/12/2024](#)

7

Conditions Governing Business

7.1

A [third country branch undertaking](#) must fulfil the following requirements in the [Conditions Governing Business](#) Part, as modified by [7.2](#) to [7.12](#):

1. (1) [Conditions Governing Business 1](#);
 2. (1A) [Conditions Governing Business 1A](#);
 3. (2) [Conditions Governing Business 2.2](#) to [2.6](#) (other than [2.2\(3\)\(e\)](#));
 4. (2A) [Conditions Governing Business 2A](#) (other than [2A.4](#));
 5. (3) [Conditions Governing Business 3](#) (other than [3.1\(2\)\(b\)](#), [3.1A\(8\)](#), [3.3](#), [3.5\(3\)\(a\)](#), [3.5\(3\)\(b\)](#), [3.8\(2\)\(b\)\(i\)](#), [3.8\(2\)\(c\)](#), [3.8\(4\)](#), [3.8\(5\)](#), [3.12\(3\)](#) and [3.12\(4\)](#));
 6. (3A) [Conditions Governing Business 3A](#);
 7. (4) [Conditions Governing Business 4](#) to [7](#); and
 8. (5) [Conditions Governing Business 11A](#), [11B](#), [11C](#), [11D](#), [11E](#) and [11F](#).
- 31/12/2024
 - [Past version of 7.1 before 31/12/2024](#)

7.2

1. (1) [Deleted]
2. (2) [Deleted]
3. (3) A reference to '[technical provisions](#)' is to be interpreted as a reference to:
 1. (a) [deleted]
 2. (b) [deleted]
 3. (c) the provisions referred to in [6.1](#) of this Part.
4. (4) A reference to '[function](#)' is to be interpreted as a reference to the [functions](#) performed in relation to the operations effected by the [third country branch](#) and includes the [function](#) of [authorised UK representative](#).
5. (5) [Deleted]
6. (6) A reference to '[best estimate](#)' is to be interpreted as '[branch best estimate](#)'.
7. (7) A reference to 'the [Technical Provisions Part](#)' should be read as a reference to [6.1](#) of this Part.
8. (8) A reference to 'the Investments Part' should be read as a reference to [8.3](#) of this Part.

9. (9) A reference to 'the [Valuation Part](#)' should be read as a reference to [6.3](#) of this Part.

- 31/12/2024
- [Past version of 7.2 before 31/12/2024](#)

7.3

A [third country branch undertaking](#) must apply the requirements referred to in [7.1](#) taking account only of matters relevant to the operations effected by the [third country branch](#).

- 31/12/2020
- [Past version of 7.3 before 31/12/2020](#)

7.4

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- [Past version of 7.4 before 31/12/2024](#)

7.5

1. (1) In [Conditions Governing Business 1.2](#), the reference to 'UK [Solvency II firm](#)' in the definition of '[concentration risk](#)' is to be interpreted as '[third country branch undertaking](#)'.
2. (2) In [Conditions Governing Business 1A.1](#) references to the following defined terms are to be disregarded:
 1. (a) '[own funds](#)';
 2. (b) '[SCR](#)'; and
 3. (c) '[MCR](#)'.
3. (3) In [Conditions Governing Business 3.2](#), references to 'and [eligible own funds](#)' are to be disregarded.
4. (4) In [Conditions Governing Business 3.5\(2\)\(c\)](#) reference to 'the [firm](#) as a whole' should be read as 'the [third country branch](#)'.
5. (5) In [Conditions Governing Business 3.6](#), [3.6A](#) and [3.6B](#) to [3.6F](#) references to the [SCR](#) are to be disregarded.

6. (6) In [Conditions Governing Business 3.8A\(1\)\(b\)](#) a reference to ‘[own funds](#) item’ is to be interpreted as a reference to the provisions referred to in [6.1](#) of this Part.

7. (7) In [Conditions Governing Business 6.1\(1\)\(i\)](#), reference to ‘the risk modelling underlying the calculation of the [SCR](#) and [MCR](#)’ is to be disregarded.

- 31/12/2024

7.6

In [Conditions Governing Business 2.2\(3\)\(b\)](#), the reference to [Conditions Governing Business 3](#) to [7](#) is to be interpreted with reference to [7.1\(3\)](#) and the modifications set out in [7.2](#) and [7.5](#).

- 31/12/2024

7.7

A firm must submit the assessments referred to in [Conditions Governing Business 3.2](#) (as modified by [7.2](#) to [7.6](#)) as part of the information reported annually in accordance with [Reporting 2](#).

- 31/12/2024

7.8

In [Conditions Governing Business 4.2\(1\)](#) ‘to the extent that these apply to [third country branches](#) in accordance with the [Third Country Branches Part](#)’ should be added after ‘deriving from [FSMA](#) that apply to [UK Solvency II firms](#)’.

- 31/12/2024

7.9

In [Conditions Governing Business 7.1](#) ‘to the extent that these apply to [third country branches](#) in accordance with the [Third Country Branches Part](#)’ should be added after ‘deriving from [FSMA](#) that apply to [UK Solvency II firms](#)’.

- 31/12/2024

7.10

In [Conditions Governing Business 11B.1\(1\)](#) reference to [Technical Provisions 13](#) should be interpreted as a reference to [6.1F](#) of this Part.

- 31/12/2024

7.11

In [Conditions Governing Business 11B.1\(2\)\(g\)](#) the references to [Chapter 14](#) and rules [2.1](#) to [2.3 of the Technical Provisions Part](#) should be interpreted as references to [6.1](#) of this Part.

- 31/12/2024

7.12

In [Conditions Governing Business 11B.1\(2\)\(a\)](#) to [\(e\)](#), [11C.2\(2\)](#) and [11C.3\(8\)](#) the references to [Technical Provisions - Further Requirements](#) should be interpreted in accordance with [Chapter 6](#) of this Part.

- 31/12/2024

8

Investments

8.1

A [third country branch undertaking](#) must fulfil the requirements laid down in the [Investments](#) Part of the [PRA](#) Rulebook, as modified by [8.2](#) and [8.3](#).

- 31/12/2020
- [Past version of 8.1 before 31/12/2020](#)

8.2

A reference to “[technical provisions](#)” is to be interpreted as laid down in [7.2\(3\)](#).

- 01/01/2016

8.3

A [*third country branch undertaking*](#) must fulfil the requirements in the [Investments](#) Part of the [PRA](#) Rulebook taking account only of the operations effected by the [*third country branch*](#).

- 31/12/2020
- [Past version of 8.3 before 31/12/2020](#)

8.4

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- 31/12/2020
- [Past version of 8.4 before 31/12/2020](#)

9

Reporting

9.1

A [*third country branch undertaking*](#) must fulfil the applicable requirements laid down in the [Reporting Part](#).

- 31/12/2024
- [Past version of 9.1 before 31/12/2024](#)

9.2

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- 31/12/2024
- [Past version of 9.2 before 31/12/2024](#)

9.3

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- 31/12/2020
- [Past version of 9.3 before 31/12/2020](#)

10

Third Country Branch Undertakings in Difficulty

10.1

A [third country branch undertaking](#) must fulfil the requirements laid down in [Undertakings in Difficulty 2](#).

- 31/12/2024
- [Past version of 10.1 before 31/12/2024](#)

10.2

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- 31/12/2024
- [Past version of 10.2 before 31/12/2024](#)

11

Separation of Long-Term Business and General Business

11.1

1. (1) A [third country insurance undertaking](#) that has a [composite third country branch](#) must fulfil the requirements laid down in [Composites 2](#) and [3](#), as modified by [11.2](#).

2. (2) [deleted.]

- 31/12/2024
- [Past version of 11.1 before 31/12/2024](#)

11.2

1. (1) The requirements referred to in [11.1](#) must be fulfilled taking account only of the operations effected by the [third country branch](#).

2. (2) [Deleted]

3. (3) [Deleted]

4. (4) The reference to ‘[technical provisions](#)’ in [Composites 3.3](#) is to be interpreted as a reference to the provisions in [6.1](#).

- 31/12/2024
- [Past version of 11.2 before 31/12/2024](#)

12

Restriction of Business

12.1

A [third country branch undertaking](#) except a [pure reinsurer](#) must not carry on any commercial business other than [insurance business](#) and activities directly arising from that business.

- 01/01/2016

12.2

A [third country branch undertaking](#) that is a [pure reinsurer](#) must not carry on any business other than the business of [reinsurance](#) and related operations.

- 01/01/2016

13

Worldwide Financial Resources

13.1

A [third country branch undertaking](#) must maintain adequate worldwide financial resources, to ensure that there is no significant risk that its liabilities cannot be met as they fall due.

- 01/01/2016

14

Transitional Measures [Deleted]

14.1

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14.2

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- [Past version of 14.2 before 31/12/2024](#)

15

Solvency II Regulations [Deleted]

15.1

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- [Past version of 15.1 before 31/12/2024](#)

15.2

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- 31/12/2024
- [Past version of 15.2 before 31/12/2024](#)